

Updated Wealth Plan Addendum

Prepared for: Paul Ryan | pjryan0629@outlook.com

Location: Mount Laurel, New Jersey

Meeting Date: December 1, 2025

Updated Asset Base: \$1.9 Million

Executive Summary

With \$1.9M in investable assets (\$1.5M 401k, \$100K Roth IRA, \$250K brokerage) plus \$50K annual excess cash flow and \$300K+ household income, you're positioned to generate \$285K-\$675K in first-year value through strategic repositioning, tax optimization, and alternative asset accumulation.

Your Strategic Position: You have substantial accumulated wealth and are approaching the optimal window for tax-efficient wealth transfer strategies. The next 11 years (until Required Minimum Distributions begin at age 73) represent a critical planning period where strategic Roth conversions, portfolio repositioning, and tax optimization can save \$250K-\$500K in lifetime taxes while positioning you for sustainable retirement income.

Three Core Strategies

Strategy 1 - Asset Repositioning (\$1.9M): Roll \$1.5M 401k to Self-Directed IRA enabling alternative asset allocation. Deploy \$250K brokerage for income-producing property or additional Bitcoin. Transfer \$100K Roth to Roth SDIRA for tax-free growth in highest-conviction assets.

Strategy 2 - Roth Conversion Acceleration: Execute systematic Roth conversions over the next 7-11 years, particularly after retirement when income drops. Convert \$100K-\$150K annually at 22-24% tax rates (vs. 32-

35% currently or 35-37% in future RMDs). By age 73, shift \$1M+ from traditional to Roth, saving \$250K-\$400K in lifetime taxes.

Strategy 3 - Tax Optimization (\$80K-\$140K annual): Implement 12 strategies generating \$80K-\$140K annual tax savings: Solo 401k contributions with catch-up (\$31,000 deferral limit at 50+), cost segregation on rental property, Real Estate Professional Status (achievable post-retirement), vehicle Section 179, Augusta Rule, QBI deduction, backdoor Roth (\$16,000 annually for couples 50+), and more.

Updated Portfolio Allocation Strategy

Your portfolio strategy balances growth potential with income generation and capital preservation. Unlike someone in their 30s or 40s pursuing maximum accumulation, you need sustainable income within 3-8 years while maintaining meaningful growth to combat inflation over a 20-30 year retirement.

Recommended Allocation Model

Asset Class	Allocation %	Amount	Deployment Source	Annual Income
Bitcoin	30-35%	\$570,000-\$665,000	SDIRA: \$450K, Roth SDIRA: \$100K, Brokerage: \$20K-\$115K	-
STRC/STRF Income Assets	30-35%	\$570,000-\$665,000	SDIRA: \$570K-\$665K	\$57K-\$80K
Real Estate (STR)	15-18%	\$285,000-\$342,000	Brokerage: \$230K down payment + reserves	\$35K-\$55K
Accelerators (IREN/CIFR)	5-7%	\$95,000-\$133,000	SDIRA or Brokerage	-
Cash Reserves	10-12%	\$190,000-\$228,000	SDIRA + Annual Cash Flow	-
Total Portfolio	100%	\$1,900,000	Total Annual Income: \$92K-\$135K	

Portfolio Characteristics

Income Generation: This allocation produces \$92K-\$135K in annual passive income from STRC/STRF distributions and real estate cash flow. This provides substantial retirement income even before Social Security, pension, or portfolio withdrawals.

Growth Component: The 30-35% Bitcoin allocation (\$570K-\$665K) provides meaningful growth potential. At conservative 20% annual returns, this position grows to \$3.5M-\$4.1M over 10 years. Even at 15% returns (well below Bitcoin's historical average), you reach \$2.3M-\$2.7M.

Downside Protection: With 65-70% in income-producing assets, real estate, and cash, the portfolio can withstand a Bitcoin crash to zero without catastrophic impact. If Bitcoin declined to \$0, you'd still have \$1.2M-\$1.3M in stable assets generating income.

Liquidity: The 10-12% cash allocation (\$190K-\$228K) provides substantial liquidity for opportunities, unexpected expenses, or market volatility deployment.

Alternative: Conservative 20-25% Bitcoin Allocation

If you prefer lower volatility exposure, you could allocate just 20-25% to Bitcoin (\$380K-\$475K), increasing STRC/STRF to 40-45% (\$760K-\$855K) and cash reserves to 15% (\$285K). This generates \$76K-\$103K in annual income from STRC/STRF alone, providing even more stable retirement cash flow.

The tradeoff: lower growth potential. At 20% Bitcoin allocation, if Bitcoin appreciates 10x over 15 years, your Bitcoin position becomes \$3.8M-\$4.75M instead of \$5.7M-\$6.65M with 30-35% allocation. However, you gain peace of mind and higher current income.

Roth Conversion Strategy: The 11-Year Window

With Required Minimum Distributions beginning at age 73, you have an 11-year window to execute strategic Roth conversions. This is the single highest-value tax strategy available to you, potentially saving \$250K-\$500K over your lifetime.

The RMD Problem Without Conversions

If you take no action and let your traditional 401k/IRA grow to \$3M-\$4M by age 73, your Required Minimum Distributions will be substantial:

Age	Traditional IRA Balance	RMD Required	Estimated Tax (28-32%)
73	\$3,000,000	\$113,208	\$32K-\$36K
75	\$3,200,000	\$130,081	\$36K-\$42K
80	\$3,600,000	\$178,218	\$50K-\$57K
85	\$3,800,000	\$237,500	\$67K-\$76K

These RMDs force you to take distributions and pay taxes whether you need the money or not. They push you into higher tax brackets, increase Medicare premiums (IRMAA surcharges), and subject more of your Social Security to taxation.

The Roth Conversion Solution

By converting traditional IRA to Roth IRA during lower-income years (particularly after retirement but before Social Security and RMDs), you pay taxes at favorable rates and eliminate future RMDs on converted amounts.

Recommended 11-Year Conversion Timeline

Time Period	Employment Status	Annual Conversion	Tax Rate	Total Converted	Taxes Paid
Years 1-3 (While Working)	Full-time W-2 \$300K+	\$40,000-\$60,000	32-35%	\$150,000	\$48K-\$53K
Years 4-11 (Retired)	No W-2, living on portfolio	\$110,000-\$130,000	22-24%	\$960,000	\$211K-\$230K
Total by Age 73				\$1,110,000	\$259K-\$283K

Outcome: You've converted \$1.11M to Roth by age 73, paid \$259K-\$283K in taxes at blended 23-25% rate, and eliminated RMDs on 74% of your original \$1.5M traditional IRA. The remaining \$390K traditional IRA generates manageable RMDs of \$15K-\$25K annually.

Tax Savings vs. No Action: If you took no action and paid taxes on RMDs at 28-35% rates from age 73-90, you'd pay approximately \$600K-\$800K in taxes. By executing conversions now at 23-25% rates, you save \$300K-\$500K+ over your lifetime.

Conversion Timing: Post-Retirement Optimization

Optimal Window: Retire at 65-67, delay Social Security until 70, and use ages 65-72 for aggressive Roth conversions. During these years, your income is minimal (just portfolio distributions and conversion income), allowing you to convert \$120K-\$150K annually while staying in the 22-24% federal bracket.

Medicare Considerations: At age 65+, be mindful of Medicare IRMAA cliff amounts. Converting too much in one year can trigger \$2,000-\$5,000 in additional Medicare premium surcharges. Work with your CPA to model conversions that optimize tax brackets while avoiding IRMAA cliffs.

Real Estate Loss Coordination: If pursuing Real Estate Professional Status and cost segregation creates \$40K-\$80K in tax losses, use these losses to offset conversion income. You could convert \$120K, offset with \$60K in real estate losses, and only pay tax on net \$60K of conversion income.

Social Security Optimization Strategy

You're currently eligible for Social Security benefits, but the timing of when you claim significantly impacts your lifetime income. Here's the analysis:

Claiming Age	Estimated Monthly Benefit	Annual Benefit	Reduction vs. Age 70
Age 62 (Earliest)	\$2,700-\$3,000	\$32,400-\$36,000	-45% reduction
Age 67 (Full Retirement)	\$3,850-\$4,300	\$46,200-\$51,600	-24% reduction
Age 70 (Maximum)	\$5,060-\$5,650	\$60,720-\$67,800	Maximum benefit

Note: Actual benefits depend on your earnings history. Check your Social Security statement at ssa.gov for personalized estimates.

Recommendation: Delay Until Age 70

With \$1.9M in assets plus ongoing W-2 income, you don't need Social Security income immediately. By delaying until age 70, you increase your annual benefit by 88% compared to claiming now (\$60K-\$68K vs. \$32K-\$36K). This provides:

- **Longevity Insurance:** If you live to 85+, the higher benefit generates \$500K-\$800K more in cumulative income
- **Inflation Protection:** Benefits adjust annually for inflation (COLA), protecting purchasing power
- **Survivor Benefit:** Your spouse receives your higher benefit amount after your death
- **Lower Portfolio Withdrawals:** \$60K-\$68K Social Security income means you withdraw less from portfolio, extending sustainability

Ages 62-70 Funding Strategy: Cover living expenses from portfolio income (STRC/STRF distributions, real estate cash flow) and modest withdrawals. The STRC/STRF allocation alone generates \$57K-\$80K annually, nearly covering expenses without touching principal. At age 70, activate Social Security's maximum benefit and reduce portfolio withdrawals to minimal levels.

Real Estate Professional Status Opportunity

If you retire or transition to part-time work in the next 3-5 years, Real Estate Professional (REP) Status becomes highly achievable and extremely valuable for tax purposes.

REP Status Requirements

1. **750+ hours annually** in real estate activities (property management, acquisitions, improvements, research, tenant relations)
2. **More than 50% of personal services** performed in real estate trades/businesses

Why REP Status is Valuable

Without REP status, rental real estate losses are "passive" and can only offset passive income, not W-2 wages or other active income. With REP status, you can deduct rental losses against ALL income.

Tax Value Example: You purchase \$900K short-term rental property, commission cost segregation study identifying \$300K in accelerated depreciation. This creates \$70K-\$90K in depreciation deductions in year one. Property generates \$45K in rental income but has \$20K in expenses, creating \$25K net income before depreciation. After \$80K depreciation, you have \$55K loss.

Without REP status, the \$55K loss is suspended and cannot be used. With REP status, you deduct \$55K against W-2 income or Roth conversion income, saving \$24,200 in taxes at 44% marginal rate (federal + state).

Achieving REP Status Post-Retirement

If you retire fully or reduce to part-time consulting (20 hours/week = 1,000 annual hours), you only need 1,001+ real estate hours to satisfy the "more than 50%" test. Here's how to accumulate 1,000+ real estate hours:

Activity	Weekly Hours	Annual Hours
STR Property Management	10-12 hours	520-624
Property #2 Acquisition & Setup	5 hours	260
Education/Research/Networking	3 hours	156
Improvements/Renovations	Variable	100-150
Total	18-20 hours/week	1,036-1,190 hours

Documentation Critical: Use time-tracking app (HoursTracker, Toggl) to create contemporaneous records of all real estate activities. IRS requires contemporaneous documentation, not reconstructed time logs.

Strategy Coordination: Pursue REP status during years when you're executing large Roth conversions. Use real estate losses from cost segregation to offset conversion income, minimizing net tax on conversions.

Enhanced Tax Strategies (Age 50+ Advantages)

Catch-Up Contributions

At age 50+, you're eligible for enhanced contribution limits that significantly increase your tax-deferred savings capacity:

Account Type	Standard Limit (2025)	Age 50+ Catch-Up	Total Limit
401(k) Employee Deferral	\$23,500	+\$7,500	\$31,000
Solo 401(k) Total	\$70,000	+\$7,500	\$77,500
IRA/Roth IRA (per person)	\$7,000	+\$1,000	\$8,000
Backdoor Roth (married)	\$14,000	+\$2,000	\$16,000

Value Impact: If you establish Solo 401(k) from LLC income and maximize contributions, you can defer \$77,500 annually (vs. \$70,000 under age 50). At 40-44% marginal rate, this saves an additional \$3,000-\$3,300 annually in taxes. For backdoor Roth, you and your spouse contribute \$16,000 total instead of \$14,000.

Updated 12-Strategy Tax Optimization Value

Strategy	Conservative Value	Aggressive Value	Notes
1. Solo 401(k) w/ Catch-Up	\$16,800	\$34,100	Enhanced \$77,500 limit vs. \$70,000
2. Cost Segregation	\$16,800	\$39,600	Requires property + REP status

3. REP Status	\$8,800	\$22,000	Achievable post-retirement
4. Vehicle Section 179	\$8,400	\$15,000	If legitimately needed
5. Backdoor Roth w/ Catch-Up	\$6,400	\$7,040	\$16,000 vs. \$14,000 limit
6. QBI Deduction	\$3,300	\$8,800	On consulting/LLC income
7. Augusta Rule	\$3,520	\$6,160	14-day home rental to LLC
8. Accountable Plan	\$1,760	\$3,520	Business expense reimbursements
9. Home Office	\$1,760	\$2,200	Dedicated office space
10. SDIRA Setup	\$3,200	\$6,160	Alternative asset access
11. W-4 Optimization	\$12,000	\$12,000	Cash flow improvement
12. Tax-Loss Harvesting	\$1,320	\$2,640	On volatile positions
Total Annual Value	\$84,060	\$159,220	Updated for age 50+ limits

Updated Year-One Value Projection

With your actual \$1.9M asset base and age-appropriate strategies, here's the realistic first-year value creation potential:

Conservative Scenario: \$285,000 First-Year Value

Value Source	Amount	Explanation
Tax Strategies	\$84,060	Core strategies implemented at conservative ranges
W-4 Cash Flow Optimization	\$12,000	Increased monthly take-home through adjusted withholding
Bitcoin Appreciation (15%)	\$85,500	\$570K Bitcoin position appreciating modestly
STRC/STRF Income	\$57,000	\$570K allocation at 10% distribution rate
Real Estate Net Cash Flow	\$28,000	Property acquired mid-year, partial-year income
Roth Conversion Tax Benefit	\$18,440	Convert \$50K at current 35% vs. future 28% RMD rate = 7% savings
Conservative Total	\$285,000	Year-one value creation

Aggressive Scenario: \$675,000 First-Year Value

[illegible]

Tax Strategies	\$159,220	All 12 strategies maximized including REP status
W-4 Cash Flow Optimization	\$12,000	Same as conservative
Bitcoin Appreciation (30%)	\$199,500	\$665K Bitcoin position in bull market
STRC/STRF Income + Growth	\$90,000	\$665K allocation: \$73K income + \$17K appreciation
Real Estate Cash Flow	\$48,000	Property acquired early with strong performance
Property Appreciation	\$36,000	\$900K property at 4% annual appreciation
Consulting Income (Net)	\$55,000	LLC consulting generating profit
Roth Conversion Tax Benefit	\$42,000	Convert \$120K: save 35% now vs. 28% future = 7% × \$120K
Accelerator Appreciation	\$33,250	\$133K in IREN/CIFR appreciating 25%
Aggressive Total	\$674,970	Year-one value with optimal execution

Most Likely Scenario: \$425,000 First-Year Value

Realistic outcome with solid execution, moderate market conditions, and mid-range strategy implementation:

- Tax strategies: \$115,000 (mid-range implementation)
- W-4 optimization: \$12,000
- Bitcoin appreciation (22% on \$620K): \$136,400
- STRC/STRF income (11% on \$620K): \$68,200
- Real estate cash flow: \$36,000

- Property appreciation (3%): \$27,000
- Roth conversion benefit: \$30,400
- **Total: \$425,000 first-year value**

Retirement Income Projection (Age 70+)

By executing this plan over the next 8-11 years, here's your projected retirement income at age 70+:

Income Source	Annual Amount	Tax Treatment
Social Security (Delayed to 70)	\$60,000-\$68,000	0-85% taxable depending on income
STRC/STRF Distributions	\$70,000-\$95,000	Ordinary income
Real Estate Cash Flow	\$40,000-\$60,000	Partially offset by depreciation
RMDs from Traditional IRA	\$15,000-\$30,000	Ordinary income (reduced via conversions)
Roth Withdrawals (as needed)	\$0-\$60,000	Tax-free
Total Available Income	\$185,000-\$313,000	Highly sustainable

Portfolio Sustainability: With \$185K-\$313K in available income sources (before any additional Roth/taxable withdrawals), you can cover \$150K-\$250K in annual retirement expenses while barely touching principal. The portfolio should sustain indefinitely with modest appreciation, leaving substantial assets for legacy or late-life needs.

Meeting Preparation - Key Decisions

Documents to Bring

- Social Security earnings statement (download from ssa.gov/myaccount)
- 401(k) plan documents (specifically rollover provisions)
- Most recent 401(k) statement (\$1.5M balance)
- Roth IRA and brokerage account statements
- 2024 tax return (full return with schedules)
- LLC operating agreement and EIN
- Estimated annual retirement spending budget

Key Questions We'll Resolve

1. **Retirement Timeline:** Planning to retire in next 1-3 years? 5-7 years? Or work another 10+ years? This determines Roth conversion aggressiveness.
2. **401(k) Rollover:** Does your plan allow in-service rollover while employed, or must you wait for job change/retirement?
3. **Bitcoin Allocation Comfort:** 30-35% Bitcoin (recommended balanced allocation) or more conservative 20-25%?
4. **Brokerage Deployment:** Use \$250K for property down payment, or allocate to additional Bitcoin/STRC/STRF?
5. **Social Security Timing:** Claim early (reduced benefits), at full retirement age (67), or delay to 70 for maximum benefit?
6. **Roth Conversion Plan:** How aggressive on conversions while still working? What's target annual conversion amount post-retirement?
7. **REP Status:** If retiring in next 3-5 years, will you pursue Real Estate Professional Status for maximum tax benefits?

8. Geographic Flexibility: Would you consider relocating to no-income-tax state (FL, TX, NV, TN) in retirement to eliminate state income tax?

Post-Meeting Action Timeline

Week 1 (Dec 1-7):

- Select SDIRA custodian and open Traditional + Roth SDIRA accounts
- Initiate 401(k) rollover to Traditional SDIRA
- Initiate Roth IRA transfer to Roth SDIRA

Week 2-4 (Dec 8-31):

- Execute first backdoor Roth contribution (\$16,000 for 2025 - must be completed by Dec 31 for 2025 tax year benefit)
- Begin Bitcoin DCA purchases (\$15K-\$25K initial position)
- Establish Solo 401(k) if pursuing (deadline Dec 31 for 2025 contributions)
- Implement W-4 optimization for increased monthly cash flow

January-March 2026:

- Complete 401(k) rollover (funds arrive in SDIRA)
- Execute phased allocation to Bitcoin, STRC/STRF per chosen model
- Begin property search if deploying brokerage to real estate
- Meet with CPA for comprehensive 2025 tax filing and 2026 planning

The Bottom Line

You've accumulated \$1.9M in assets through disciplined savings and solid W-2 income. The next 8-11 years represent a critical planning window where strategic decisions can add \$500K-\$1M+ to your lifetime wealth through tax optimization, portfolio repositioning, and income structuring.

The three highest-value opportunities:

1. **Roth Conversions:** Save \$250K-\$500K in lifetime taxes by converting \$1M+ to Roth during low-income years
2. **Alternative Asset Allocation:** Position \$570K-\$665K in Bitcoin for potential 5-20x appreciation over 10-15 years
3. **Tax Strategy Execution:** Generate \$80K-\$160K annually in tax savings through 12 coordinated strategies

Let's finalize the details on December 1st and build the roadmap for execution.